

		Accordingly, Plaintiff David Elias’s Motion for Reconsideration is CONTINUED to November 2, 2026 at 9:00 a.m. in Department N14. NO FURTHER BRIEFING ON THIS MOTION WILL BE PERMITTED. For the same reason, the Court also continues the hearing on Plaintiff’s Motion for Statement of Decision (ROA 1147) from September 28, 2026 to November 2, 2026 at 9:00 a.m. in Department N14. Clerk to give notice.
106	Flanagan v. Mercedes-Benz USA, LLC, 2026-01551285	MOTION TO COMPEL ARBITRATION – GRANTED The Motion to Compel Arbitration brought by Defendant Mercedes-Benz USA, LLC, against Plaintiff Nicholas Flanagan, is GRANTED. The Federal Arbitration Act governs here as the arbitration agreement expressly provides that it “shall be governed by the Federal Arbitration Act (9 USC 1, et seq.).” (Sandhu Decl., Ex. B at p. 4.) Accordingly, the FAA applies. The FAA states that written arbitration agreements “shall be valid, irrevocable, and enforceable, save upon such grounds as exist at law or in equity for the revocation of any contract.” (9 U.S.C. § 2.) The United States Supreme Court has described this provision as reflecting both a “liberal federal policy favoring arbitration,” and the “fundamental principle that arbitration is a matter of contract.” (AT&T Mobility LLC v. Concepcion (2011) 563 U.S. 333, 339.) The FAA permits agreements to arbitrate to be invalidated by “generally applicable contract defenses, such as fraud, duress, or unconscionability.” (Concepcion, supra, 563 U.S. at p. 339.) When deciding whether a valid arbitration agreement exists, courts generally apply “ordinary state-law principles that govern the formation of contracts.” (First Options of Chicago, Inc. v. Kaplan (1995) 514 U.S. 938, 944.) “[T]he party resisting arbitration bears the burden of proving that the claims at issue are unsuitable for arbitration.”

		(Green Tree Fin. Corp. v. Randolph (2000) 531 U.S. 79, 91.) On a motion to compel arbitration under the FAA, the court’s role is limited to deciding: “(1) whether there is an agreement to arbitrate between the parties; and (2) whether the agreement covers the dispute.” (Brennan v. Opus Bank (9th Cir. 2015) 796 F.3d 1125, 1130.) If these conditions are satisfied, the court is without discretion to deny the motion and must compel arbitration. (9 U.S.C. § 4; Dean Witter Reynolds, Inc. v. Byrd (1985) 470 U.S. 213, 218 [“By its terms, the [FAA] leaves no place for the exercise of discretion by a district court but instead mandates that district courts shall direct the parties to proceed to arbitration.”].) “[T]he party resisting arbitration bears the burden of proving that the claims at issue are unsuitable for arbitration.” (Green Tree Fin. Corp., supra, 531 U.S. at p. 91.) <u>Existence of Agreement to Arbitrate</u> A party moving to compel arbitration bears an initial burden of producing “prima facie evidence of a written agreement to arbitrate the controversy.” (Gamboa v. Northeast Community Clinic (2021) 72 Cal.App.5th 158, 165–166.) The moving party “can meet its initial burden by attaching to the [motion or] petition a copy of the arbitration agreement purporting to bear the [opposing party’s] signature.” (Bannister v. Marinidence Opco, LLC (2021) 64 Cal.App.5th 541; see also Espejo v. Southern California Permanente Medical Group (2016) 246 Cal.App.4th 1047, 1060 [holding same].) For this step, “it is not necessary to follow the normal procedures of document authentication.” (Condee v. Longwood Management Corp. (2001) 88 Cal.App.4th 215, 218.) If the moving party meets its initial prima facie burden and the opposing party does not dispute the existence of the arbitration agreement, then nothing more is required for the moving party to meet its burden of persuasion.
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		Here, Mercedes meets its initial prima facie burden of establishing the existence of a written arbitration provision, in the Lease Agreement. It is undisputed that Plaintiff signed the Lease Agreement that contained the foregoing arbitration clause. The relevant arbitration provision states as follows: “Any claim or dispute whether in contract, tort or otherwise (including any dispute over the interpretation, scope, or validity of this lease, arbitration section or the arbitrability of any issue), between you and us or any of our employees, agents, successor, assigns, or the vehicle distributor, including Mercedes-Benz USA LLC (each a ‘Third Party Beneficiary’), which arises out of or relates to a credit application, this lease, or any resulting transaction or relationship arising out of this lease (including any such relationship with third parties who do not sign this contract) shall, at the election of either you, us, or a Third Party Beneficiary, be resolved by a neutral binding arbitration and not by a court action.” (Sandhu Decl., Ex. B [emphasis added].) Initially, while Plaintiff asserts that statutory warranty claims are not encompassed in the above agreement, the above provision is broad and applies to the statutory claims at issue herein, generally. (See <i>Rice v. Downs</i> (2016) 248 Cal.App.4th 175, 186, as modified on denial of reh'g (June 23, 2016), as modified (June 28, 2016) [holding that examples of “broad” clauses include “any claim arising from or related to this agreement” and are sufficiently broad to include torts and claims where the allegations “touch matters” covered by the contract].) Additionally, the Court finds that Defendant MBUSA is entitled to enforce the agreement. <u>Mercedes’ Standing to Compel Arbitration</u> As argued by Plaintiff, equitable estoppel does not apply to permit MBUSA to compel arbitration, as “[t]he warranties upon which plaintiffs’ claims rest are independent of the sales contracts, not intimately intertwined with them.” (Ford Motor Warranty Cases (2025) 17 Cal.5th 1122, 1135.) However, “[a] third party
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		beneficiary is someone who may enforce a contract because the contract is made expressly for his benefit.” (Ford Motor Warranty Cases (2023) 89 Cal.App.5th 1324, 1336 [internal quotations omitted].) In determining whether the third party beneficiary doctrine applies, the court considers: “(1) whether the third party would in fact benefit from the contract, but also (2) whether a motivating purpose of the contracting parties was to provide a benefit to the third party, and (3) whether permitting a third party to bring its own breach of contract action against a contracting party is consistent with the objectives of the contract and the reasonable expectations of the contracting parties.” (Goonewardene v. ADP, LLC (2019) 6 Cal.5th 817, 830.) “All three elements must be satisfied to permit the third-party action to go forward.” (Ibid.) In disputing application of the third-party beneficiary doctrine, Plaintiff relies heavily on Ford Motor Warranty Cases (2025) 17 Cal.5th 1122; however, this authority did not consider application of third-party beneficiary status. Additionally, in contrast to the contractual language at issue in Ford Motor Warranty Cases (2025) 17 Cal.5th 1122, the arbitration provision states, both, that MBUSA is a third-party beneficiary, and that third-party beneficiaries may enforce the arbitration provision. (Sandhu Decl., Ex. B.) By expressly designating MBUSA as a third-party beneficiary entitled to enforce the arbitration provision, the Lease Agreement clearly benefits and communicates an intent to benefit the moving Defendant. Similarly, applying the above herein, permitting MBUSA to enforce the arbitration provisions is consistent with the objectives of the contract and the reasonable expectations of the parties. Based on the above, all the Goonewardene elements are met. (Goonewardene v. ADP, LLC (2019) 6 Cal.5th 817, 830.)
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		As explained by the Court in Ford Motor Warranty Cases (2023) 89 Cal.App.5th 1324: “If the signatories had intended to benefit FMC, such a purpose would have been easy to articulate. They could have simply named FMC – directly or by class as the vehicle’s manufacturer – as a person entitled to compel arbitration.” (Id. at p. 1339.) This is exactly what the instant Lease Agreement has done and, in doing so, they have communicated an intent to permit enforcement by moving Defendant as a third-party beneficiary. Based on the above, the Court finds that Defendant is entitled to enforce the arbitration provision within the Lease Agreement, as a third-party beneficiary. For these reasons, the court GRANTS Defendant MBUSA’s motion to compel arbitration and hereby STAYS the action pending resolution of the parties’ binding arbitration. Moving Defendant to give notice.
107	Hernandez v. Anaheim Palace Inc., 2024-01419077	MOTIONS FOR JUDGMENT ON THE PLEADINGS TENTATIVE RULING FORTHCOMING
108	Legacy Capital Investment Group Inc. v. Legacy Investment Group I, LLC, 2025-01470274	DEMURRER – WITHDRAWN
109	Lopez v. Flores, 2024-01435693	TRANSFERRED TO INFORMAL DISCOVERY PROGRAM
110	Maya v. Target, 2023-01370674	CONTINUED